NOTE 16 INCOME TAXES

The Company's *Income tax (expense) benefit* consisted of:

	Years Ended December 31,		
	2003	2002	2001
		(in thousands)	
Current:			
United States	$ (14,800)	$ (9,866)	$ 6,280
Foreign	(228,333)	(110,324)	(38,499)
	(243,133)	(120,190)	(32,219)
Deferred:			
United States	49,004	92,060	98,762
Foreign	(12,821)	8,230	(7,275)
	36,183	100,290	91,487
Total income tax (expense) benefit	$(206,950)	$ (19,900)	$ 59,268

The Company's *Pre-tax income (loss) before minority interest, equity income (loss) and impairment of affiliates and cumulative effect of a change in accounting principle* consisted of:

	Years Ended December 31,		
	2003	2002	2001
		(in thousands)	
United States	$286,853	$(186,281)	$(249,516)
Foreign	638,533	402,607	186,465
Total	$925,386	$ 216,326	$ (63,051)

The Company's income tax (expense) benefit differed from the amounts computed by applying the United States statutory corporate income tax rate for the following reasons:

	Years Ended December 31,		
	2003	2002	2001
		(in thousands)	
Pre-tax income (loss) before minority interest, equity income (loss) and impairment of affiliates and cumulative effect of change in accounting principle	$ 925,386	$216,326	$(63,051)
United States statutory corporate income tax rate	35%	35%	35%
Income tax (expense) benefit computed at United States statutory corporate income tax rate	(323,885)	(75,714)	22,068
Reconciling items:			
Percentage depletion and Canadian Resource Allowance	21,540	34,352	17,325
Change in valuation allowance on deferred tax assets	85,220	(2,506)	(17,269)
Acquisition related expenses	—	—	(4,375)
Effect of foreign earnings, net of allowable credits	27,766	16,728	29,537
US tax effect of minority interest attributable to non-U.S. investees	22,208	11,494	10,096
Rate differential for foreign earnings indefinitely reinvested	13,438	(4,994)	—
Resolution of tax issues associated with prior years	—	10,198	—
Foreign currency translation of monetary assets	(54,445)	(9,294)	—
Tax effect of changes in tax laws	35,695	—	—
Non-U.S. tax effect attributable to the extinguishment of debt	(35,629)	—	—
Other	1,142	(164)	1,886
Total *Income tax (expense) benefit*	$(206,950)	$ (19,900)	$ 59,268

Table of Contents

Components of the Company's consolidated deferred income tax assets (liabilities) are as follows:

	Years Ended December 31,	
	2003	2002
	(in thousands)	
Deferred tax assets:		
Depletion of the cost of mineral interests	$ 229,225	$ 204,661
Exploration costs	69,039	61,023
Depreciation	84,958	83,255
Capitalized mining costs	33,707	53,920
Net operating losses and tax credits	388,796	402,188
Retiree benefit and vacation accrual costs	83,995	82,692
Remediation and reclamation costs	81,204	70,547
Foreign currency exchange	11,661	36,114
Derivative instruments	18,649	137,356
Unrealized loss on investments	11,055	19,543
Other	44,081	39,081
	1,056,370	1,190,380
Valuation allowance for deferred tax assets	(230,298)	(377,501)
Deferred tax assets, net of valuation allowance	826,072	812,879
Deferred tax liabilities:		
Net undistributed earnings of subsidiaries	(32,615)	(156,049)
Unrealized gain on investments	(75,092)	(35,729)
Depletable and amortizable costs associated with mineral rights	(342,641)	(352,454)
Depreciation	(14,539)	(76,434)
Capitalized mining costs	(124,951)	(32,099)
Foreign currency exchange	(21,727)	—
Capitalized interest	(21,862)	(25,390)
Other	(17,890)	(6,766)
Deferred tax liabilities	(651,317)	(684,921)
Net deferred tax assets	$ 174,755	$ 127,958

Net deferred tax assets consist of:

	Years Ended December 31,	
	2003	2002
	(in thousands)	
Current deferred tax assets	$ 73,665	$ 51,451
Non-current deferred tax assets	752,407	761,428
Current deferred tax liabilities	(18,182)	(28,469)
Non-current deferred tax liabilities	(633,135)	(656,452)
Net deferred tax assets	$ 174,755	$ 127,958

Table of Contents

Newmont intends to indefinitely reinvest earnings from certain foreign operations. Accordingly, U.S. and non-U.S. income and withholding taxes for which deferred taxes might otherwise be required, have not been provided on a cumulative amount of temporary differences (including, for this purpose, any difference between the tax basis in the stock of a consolidated subsidiary and the amount of the subsidiary's net equity determined for financial reporting purposes) related to investments in foreign subsidiaries of approximately $840 million and $971 million at December 31, 2003 and 2002, respectively. The additional U.S. and non-U.S. income and withholding tax that would arise on the reversal of the temporary differences could be offset in part, by tax credits. Because the determination of the amount of available tax credits and the limitations imposed on the annual utilization of such credits are subject to a highly complex series of calculations and expense allocations, it is impractical to estimate the amount of net income and withholding tax that might be payable.

As of December 31, 2003 and December 31, 2002, the Company had (i) $889.5 million and $784.6 million of net operating loss carryforwards respectively; and (ii) $111.7 million and $172.4 million of tax credit carryforwards respectively. Of the amounts of net operating loss carryforwards, $127.1 million and $153.9 million, respectively, are attributable to acquired mining operations conducted in the United States and will begin expiring in 2013 if not utilized before then. As of December 31, 2003, another $762.3 million of net operating losses carryforwards are attributable to acquired mining operations in Australia for which current tax law provides no expiration period. The remaining net operating losses available are attributable to acquired entities and have various temporal and other limitations that may restrict the ultimate realization of the tax benefits of such tax attributes.

Tax credit carryforwards of $85.3 million and $128.1 million consist of foreign tax credits available in the United States and substantially all such credits not utilized in the interim period will expire at the end of 2006. Other credit carryforwards in the amounts of $26.4 million and $44.3 million, respectively, represent alternative minimum tax credits attributable to the Company's U.S. operations for which the current tax law provides no period of expiration.

The Company decreased the valuation allowance related to deferred tax assets by $147.2 million during 2003. The decrease resulted primarily from the reversal of valuation allowances associated with acquired U.S. and Australian net operating losses and U.S. foreign tax credits due to sufficient evidence to support the future realization of these deferred tax assets, along with the transfer or expiration of certain non-U.S. net operating losses. The remaining valuation allowance is primarily attributable to foreign tax credits and tax losses at the Company's non-U.S. subsidiaries, which are required due to the uncertainty of utilizing the credits during the prescribed carryforward period from certain limitations under U.S. tax law and the ability of the non-U.S. subsidiaries to generate sufficient taxable income to realize the loss carryforwards, respectively. Of the above valuation allowance recorded as of December 31, 2003 and 2002, $81.3 million and $166.9 million, respectively, is attributable to deferred tax assets for which any subsequently recognized tax benefits will be allocated to reduce goodwill related to the acquisition of Normandy. Of the net decrease of $85.6 million, goodwill was reduced by $34.8 million related to the realization of deferred tax assets in 2003 for the acquisition of Normandy and by $9.0 million for the transfer or expiration of non-U.S. tax losses recorded at the Normandy acquisition. The reversal of $12.5 million of the valuation allowance related to the U.S. foreign tax credits will be recorded to shareholders' equity upon realization of those deferred tax assets.

Table of Contents

The breakdown of the Company's net deferred tax assets (liabilities) between the United States and foreign taxing jurisdictions is as follows:

	Years Ended December 31,	
	2003	2002
	(in thousands)	
United States	$ 399,990	$ 344,913
Foreign	(225,235)	(216,955)
Deferred tax assets	$ 174,755	$ 127,958

Income Taxes

The Company operates in numerous countries around the world and accordingly it is subject to, and pays annual income taxes under the various income tax regimes in the countries in which it operates. Some of these tax regimes are defined by contractual agreements with the local government, but others are defined by the general corporate income tax laws of the country. The Company has historically filed, and continues to file, all required income tax returns and to pay the taxes reasonably determined to be due. The tax rules and regulations in many countries are highly complex and subject to interpretation. From time to time the Company is subject to a review of its historic income tax filings and in connection with such reviews, disputes can arise with the taxing authorities over the interpretation or application of certain rules to the Company's business conducted within the country involved. As of December 31, 2003 and December 31, 2002 the Company has accrued income taxes (and related interest and penalties, if applicable) in the amount of $244.8 million and $321.5 million, respectively. This amount represents what the Company believes will be the probable outcome from settlement of such disputes for all tax years for which additional income taxes can be assessed.